

Innovating radically

Doing what we do better will get us a long way—but from time to time something comes along that changes the whole nature of a business or market, offering a great leap forward. This is known as radical innovation. Radical changes in products, services, and processes don't happen every day, and it takes a long time for them to be perfected, but they do have a big impact. Significant examples include electric power, cars and railroads, the Internet, and self-service shopping.

Managing innovation types

Understanding the difference between different types of innovation is important in learning how to manage it. Incremental innovation requires you to mobilize large numbers of people to make small improvements. The process is relatively low risk and high frequency, and forms part of the mainstream activity in most organizations. Radical innovation is much riskier and often takes specialized knowledge. It tends to be managed by dedicated teams, often outside the mainstream of the organization's workflow.

The development of most products tends to consist of long periods of incremental change punctuated with occasional radical breakthroughs. For example, the 20th century saw decades of incremental innovation of the standard filament light bulb to create smaller, more reliable, and more efficient versions of the original design. Now, however, light-emitting diodes (LEDs) promise a radical replacement in the form of a long-lasting and energy-efficient alternative. A successful organization should not limit itself to either incremental or radical innovation, but be prepared to engage in both, and manage them under the same roof.

HOW TO... BUILD AN INNOVATION PORTFOLIO

